

Common Area Maintenance (CAM) Reconciliation Procedure

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Purpose

This procedure governs the annual reconciliation of CAM expenses to amounts billed to tenants, ensuring tenants are charged their correct contractual share of recoverable operating costs.

Overview

During the year, tenants are billed estimated CAM charges based on a budget. At year end, actual recoverable CAM expense is totaled and compared to what was billed. The difference is either billed to the tenant (underbilling) or credited back (overbilling).

Step 1: Compile Actual CAM Expense

Total the actual expense in the CAM-eligible accounts for the property for the reconciliation year. The CAM-eligible accounts are defined in the GL Account Coding Standards. Exclude any expense that is capital in nature or that the lease specifically excludes from recovery.

Step 2: Apply Exclusions and Caps

Review each lease for CAM exclusions, caps, and gross-up provisions. Some leases cap the year-over-year increase in controllable CAM; apply the cap before calculating the tenant share. Administrative fees are added only where the lease permits.

Step 3: Calculate Tenant Share

Each tenant's share is its pro-rata percentage, generally based on the tenant's rentable square footage divided by the property's total occupied or total rentable square footage, depending on the lease. Apply the share percentage to the net recoverable pool.

Step 4: Compare to Amounts Billed

Compare the calculated tenant share to the estimated CAM already billed during the year. A positive difference (actual share exceeds billed) results in a catch-up charge. A negative difference results in a credit.

Step 5: Review and Finalize

The Controller reviews the reconciliation before any catch-up charges or credits are posted. Once approved, the reconciliation status is set to Finalized and adjustments are billed or credited to tenant accounts. Reconciliations not yet reviewed remain In Progress and must not be billed.

Variance Investigation

A large variance between budgeted and actual CAM should be explained before finalizing. Common causes include unbudgeted major repairs, utility rate changes, or a coding error that placed a non-recoverable expense in a CAM-eligible account. Coding errors must be corrected at the source, not adjusted only in the reconciliation.

Documentation

Retain the expense detail, the share calculation, and the Controller approval for each reconciliation. Tenants may request supporting detail and the documentation must be available on request.